

popular-once the permanent income laws were passed- because the income-tax rate of the corporation was less than the individual income-tax rates. In addition, as described earlier, certain expenses could be paid with pre-tax dollars within the corporation.

This war between the haves and have-nots has been going on for hundreds of years. It is the “Take from the rich” crowd versus the rich. The battle is waged whenever and wherever laws are made. The battle will go on forever. The problem is, the people who lose are the uninformed. The ones who get up every day and diligently go to work and pay taxes. If they only understood the way the rich play the game, they could play it too. Then, they would be on their way to their own financial independence. This is why I cringe every time I hear a parent advise their children to go to school, so they can find a safe, secure job. An employee with a safe, secure job, without financial aptitude, has no escape.

Average Americans today work five to six months for the government before they make enough to cover their taxes. In my opinion, that is a long time. The harder you work, the more you pay the government. That is why I believe that the

idea of “Take from the rich” backfired on the very people who voted it in.

Every time people try to punish the rich, the rich don't simply comply, they react. They have the money, power and intent to change things. They do not just sit there and voluntarily pay more taxes. They search for ways to minimize their tax burden. They hire smart attorneys j and accountants, and persuade politicians to change laws or create legal loopholes. They have the resources to effect change.

The Tax Code of the United States also allows other ways to save on taxes. Most of these vehicles are available to anyone, but it is the rich who usually look for them because they are minding their own business. For example, “1031” is jargon for Section 1031 of the Internal Revenue Code, which allows a seller to delay paying taxes on a piece of real estate; that is sold for a capital gain through an exchange for a more expensive piece of real estate. Real estate is one investment vehicle that allows such a great tax advantage. As long as you keep trading up in value, you I will not be taxed on the gains, until you liquidate. People who do not take advantage of these tax savings offered legally are missing a great opportunity to build their asset columns.

The poor and middle class do not have the same resources. They sit there and let the government's needles enter their arm and allow the blood donation to begin. Today, I am constantly shocked at the number of people who pay more taxes, or take fewer deductions, simply because